



LOW-COST AIRLINES NOT ONLY CONNECTED CITIES, BUT ALSO BROUGHT IN MILLIONS OF FIRST-TIME FLYERS

THE PATHS to Prosperity

Better roads will kickstart economic development but the government needs to do more than rely on public-private partnerships to get the infrastructure of the future going

By Jagdish Khattar |

It is well known that good public transportation which involves inter and intra city travel via roads, railways, air connectivity and such systems is an important contributor to the economy of a country. Economic growth in the UK and the US was generated through a transportation revolution in those countries. Although new technologies played an important role, the breakthrough involved a structural change in the existing systems.

The trigger point of the infrastructure revolution is roads. I firmly believe that if you just keep on building roads, economic development will follow. Roads in India carry about 61 per cent of freight and 85 per cent of passenger traffic. Roads expand markets, thus setting the stage for productivity advances in both agriculture and in-

dustry. Moreover, for a country like India, a smooth and efficient road network is critical both for bringing about national integration as well as for overall socio-economic development.

Unfortunately, we have been terrible on that front in the first 50 years since Independence. The NDA government came forward with the National Highway Development Programme, which included the 5,800-km Golden Quadrilateral programme. But after the UPA came to power, the momentum was lost. Better roads have and will continue to help sell more cars. At Maruti Suzuki, we used to have a lot of accidents while transporting our cars in the 1990s. In addition to improving our trucks and trailers, we used to send out a team to places like Assam, for example, to check damaged roads and identify alternate routes. Initially people living in the rural ar-

A BLUFFER'S GUIDE

- The Kolkata Metro was the first system of its kind in the India but delays and budget overruns ensured that the Delhi Metro, which met deadlines three years ahead of schedule, became the preferred model for other cities.
- With Deccan Airways bringing in the UK model of Ryanair and EasyJet, low cost airlines started operations in India.
- The airline sector is wrestling with four major problems: overcapacity, inadequate funds for growth, declining passenger volumes and high fuel prices which comprise over half of an operator's net costs.